

Oversea-Chinese Banking Corp

CEO lunch takeaways – balancing risks and opportunities

Reiterate Rating: BUY | PO: 19.00 SGD | Price: 16.35 SGD

Focus areas – Tariffs, wealth mgmt, M&A strategy etc

We hosted OCBC CEO Helen Wong and CFO Goh Chin Yee for a post-results investor lunch. We share some key takeaways. Overall, management remains quite confident about the managing risks in the current environment. But also see many opportunities emerging which the bank is focused on capitalizing.

Tariff-impact – vigilant over the past 6-9 months

Mgmt. remains confident of the shape of their current portfolio – coming out of 4Q24 earnings, the bank was already expecting 3 rate cuts in 2025, much more dovish than peers. As such, much of their preparation and stress tests (starting as early as 3Q24) have been centered around various scenarios including interest rates. While there has been no knee-jerk reaction to the recently geopolitical tensions, mgmt. has conceded that the uncertainty surrounding the final outcomes of trade tensions remain, and sees loan growth guidance of being most at risk if the macroeconomic picture worsens.

Wealth management – strong growth runway

1Q25's S\$5 bn of net new money is testament to the OCBC's continued efforts in expanding its scale in the business. The previous target of 500 BOS RMs by the end of 2025 has already been met – but the new hires will require 12-18 months of 'gestation' to get up to speed and produce results. Apart from focusing on expanding scale through its network of RMs, OCBC aims to improve its value proposition to clients on 2 fronts – 1) by focusing on product development, not just to BOS clients but also its premier private client and premier banking customers, and 2) further realizing synergy with Great Eastern and the latter's portfolio.

Detailed colour inside...

Estimates (Dec) (\$S)	2023A	2024A	2025E	2026E	2027E
Net Income (Adjusted - mn)	6,956	7,523	7,207	7,513	7,905
EPS	1.55	1.67	1.61	1.69	1.78
EPS Change (YoY)	22.0%	7.7%	-3.6%	4.9%	5.2%
Consensus EPS (Visible Alpha)			1.61	1.64	1.71
Dividend / Share	0.820	0.850	1.00	1.08	1.15
Pre-exceptional EPS	1.57	1.68	1.63	1.71	1.80
Pre-exceptional EPS Change (YoY)	21.6%	7.0%	-2.9%	4.9%	5.2%
Book Value / Share	11.78	12.80	13.39	13.98	14.61
Valuation (Dec)					
P/E	10.5x	9.8x	10.2x	9.7x	9.2x
Dividend Yield	5.02%	5.20%	6.12%	6.61%	7.03%
Pre-exceptional PE	10.39x	9.71x	10.01x	9.54x	9.08x
Price / Book	1.36x	1.24x	1.19x	1.15x	1.10x
RoE / PB	9.55x	10.69x	9.98x	10.39x	10.98x
Price / Pre-Provision Profit	8.86x	8.44x	8.49x	8.16x	7.79x

13 May 2025

Equity

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Stock Data

Price	16.35 SGD
Price Objective	19.00 SGD
Date Established	13-May-2025
Investment Opinion	A-1-7
52-Week Range	13.61 SGD-17.75 SGD
Mkt Val / Shares Out (mn)	56,347 USD / 4,498.8
Market Value (mn)	73,555 SGD
Average Daily Value (mn)	115.21 USD
Free Float	85.3%
BofA Ticker / Exchange	OVCHF / SES
Bloomberg / Reuters	OCBCSP / OCBCSI
ROE (2025E)	11.9%

Glossary

BOS – Bank of Singapore
 CASA – current account, savings account
 FD – fixed deposits
 M&A – mergers & acquisitions
 NIM – net interest margins
 RM – relationship managers
 SME – small, medium enterprises
 SORA – Singapore Overnight Rate Average
 WM – wealth management

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Refer to important disclosures on page 6 to 8. Analyst Certification on page 4. Price Objective Basis/Risk on page 4.

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iQprofileSM Oversea-Chinese Banking Corp

Key Income Statement Data (Dec)

(\$ Millions)

	2023A	2024A	2025E	2026E	2027E
Net Interest Income	9,645	9,755	9,334	9,473	9,825
Net Fee Income	1,804	1,970	2,167	2,384	2,622
Securities Gains / (Losses)	1,004	1,537	1,500	1,600	1,600
Other Income	936.00	1,116	1,400	1,400	1,400
Total Non-Interest Income	3,744	4,623	5,067	5,384	5,622
Total Operating Income	13,389	14,378	14,401	14,857	15,447
Operating Expenses	(5,223)	(5,742)	(5,980)	(6,145)	(6,315)
Pre-Provision Profit	8,166	8,636	8,421	8,711	9,132
Provisions Expense	(733.00)	(690.00)	(817.86)	(860.85)	(908.20)
Operating Profit	7,433	7,946	7,603	7,851	8,224
Non-Operating Income	15.00	36.00	96.00	96.00	96.00
Pre-Tax Income	8,401	8,976	8,799	9,147	9,620
Net Income to Comm S/Hold.	6,956	7,523	7,207	7,513	7,905
Adjusted Net Income (Operating)	6,956	7,523	7,207	7,513	7,905

Key Balance Sheet Data

Total Assets	581,424	625,050	657,098	688,722	722,480
Average Interest Earning Assets	423,065	443,419	475,879	495,947	517,809
Weighted Risk Assets	236,694	236,288	250,465	265,493	281,423
Total Gross Customer Loans	296,653	319,166	335,124	353,556	373,002
Total Customer Deposits	363,770	390,687	410,221	428,681	447,972
Tier 1 Capital	38,970	42,124	44,341	46,557	49,854
Tangible Equity	48,421	53,114	55,306	57,476	60,228
Common Shareholders' Equity	54,170	59,316	61,553	63,769	66,566

Key Metrics

Net Interest Margin	2.28%	2.20%	1.96%	1.91%	1.90%
Tier 1 Ratio	16.5%	17.8%	17.7%	17.5%	17.7%
Effective Tax Rate	14.7%	13.7%	15.4%	15.2%	15.2%
Loan / Assets Ratio	51.0%	51.1%	51.0%	51.3%	51.6%
Loan / Deposit Ratio	81.5%	81.7%	81.7%	82.5%	83.3%
Oper Leverage (Inc Growth - Cost Growth)	9.7%	-2.6%	-4.0%	0.4%	1.2%
Gearing (Assets / Equity)	10.7x	10.5x	10.7x	10.8x	10.9x
Tangible Common Equity / Assets	8.3%	8.5%	8.4%	8.3%	8.3%
Tangible Common Equity / WRAs	20.5%	22.5%	22.1%	21.6%	21.4%
Revenue Growth	13.6%	7.4%	0.2%	3.2%	4.0%
Operating Expense Growth	3.9%	9.9%	4.1%	2.8%	2.8%
Provisions Expense Growth	25.5%	-5.9%	18.5%	5.3%	5.5%
Operating Revenue / Average Assets	2.3%	2.4%	2.2%	2.2%	2.2%
Operating Expenses / Average Assets	0.9%	1.0%	0.9%	0.9%	0.9%
Pre-Provision ROA	1.4%	1.4%	1.3%	1.3%	1.3%
ROA	1.2%	1.2%	1.1%	1.1%	1.1%
Pre-Provision ROE	15.7%	15.6%	14.3%	14.3%	14.4%
ROE	13.0%	13.3%	11.9%	12.0%	12.1%
RoTE	14.4%	14.2%	13.0%	13.1%	13.1%
RoWRAs	2.9%	3.2%	2.9%	2.8%	2.8%
Dividend Payout Ratio	52.7%	60.3%	62.0%	63.8%	64.6%
Efficiency Ratio	42.2%	44.7%	46.4%	46.4%	45.6%
Headline Cost/Income Ratio	39.0%	39.9%	41.5%	41.4%	40.9%
Total Non-Interest Inc / Operating Inc	28%	32%	35%	36%	36%
Market-Related Revenue / Total Revenues	7.5%	10.7%	10.4%	10.8%	10.4%
Provisioning Burden as % of PPP	9.0%	8.0%	9.7%	9.9%	9.9%
NPLs plus Foreclosed Real Estate / Loans	1.0%	0.9%	0.9%	1.0%	1.0%
Loan Loss Reserves / NPLs	134.4%	141.9%	140.3%	132.0%	124.8%
Loan Loss Reserves / Total Loans	1.3%	1.3%	1.3%	1.3%	1.3%
Provisions Expense / Average Loans	0.2%	0.2%	0.3%	0.3%	0.3%

Other Metrics

Income / Employee	NA	NA	NA	NA	NA
(Operating Expenses) / Employee	NA	NA	NA	NA	NA
Pre-Provision Profit / Employee	NA	NA	NA	NA	NA
Net Profit / Employee	NA	NA	NA	NA	NA

Company Sector

Banks-Multinational/Universal

Company Description

OCBC is the second-largest bank group in Singapore by total assets. OCBC differs from local Singapore banking peers as it has a large life insurance business (88% of SGX-listed Great Eastern Holdings). It has a diversified presence across ASEAN and Greater China. In 2010, it acquired the Asian private banking assets of ING Asia Private Bank and has since rebranded it as Bank of Singapore. In 2014, Wing Hang Bank became a wholly owned subsidiary, expanding the group's Greater China operations.

Investment Rationale

We rate OCBC Buy. As we enter the rate cut cycle, OCBC's lower NIM sensitivity, scope for higher contribution from ASEAN businesses, better wealth management yields and operating efficiency seem under-appreciated by the market. OCBC's management revamp and renewed strategic plan focused on regional flows & wealth management will likely positively surprise over next 1-2 years, in our view. We also expect positive surprises on dividends. Hence we expect DBS's valuation premium over OCBC to narrow.

Stock Data

Price to Book Value

1.2x



CEO lunch takeaways

1. **Margins – impacted by faster asset yield repricing** – 11 bp QoQ NIM decline largely driven by lower asset yields, particularly in the SGD and HKD books. SORA pass through effect from US Fed rate cuts has been more than 100%, coupled with the fact that around 80% of SGD loans are floating rate loans, SGD asset yields repriced down much faster. HKD loans are largely on floating benchmark rates including HIBOR 1M and 3M, and around 90% of HKD loans are floating rate loans
2. **Margins – deposit repricing with a lag** – Meanwhile, deposit repricing occurs much slower – OCBC has lowered FD rates (estimated by BofA to be -60 bp in 4Q24, -15 bp in 1Q24, -25 bp in 2Q24 QTD), and has also recently lowered its current account deposit rates – improvements in funding costs will only likely show up in 2Q, and fully materialize in 3Q.
3. **Focus on improving funding franchise** – OCBC continues to strive to improve its funding franchise and obtain low-cost transactional CASA, mainly through improving its value proposition to customers. One example is the digitalization of services for SMEs, especially account opening, which can now be seamlessly and easily executed entirely online.
4. **China-ASEAN corridor a big opportunity** – Another opportunity that OCBC is counting on is the China-ASEAN trade corridor. By leveraging on its extensive networks in Greater China (including Bank of Ningbo, OCBC HK), OCBC has been actively onboarding Chinese companies who are expanding into ASEAN. This first-mover advantage has allowed OCBC to acquire sticky transactional CASA.
5. **Tariff-impact – vigilant over the past 6-9 months** – Mgmt. remains confident of the shape of their current portfolio – coming out of 4Q24 earnings, the bank was already expecting 3 rate cuts in 2025, much more dovish than peers. As such, much of their preparation and stress tests have been centered around various scenarios including interest rates. While there has been no knee-jerk reaction to the recently geopolitical tensions, mgmt. has conceded that the uncertainty surrounding the final outcomes of trade tensions remain, and sees loan growth guidance of being most at risk if the macroeconomic picture worsens.
6. **Wealth management – strong growth runway** – 1Q25's S\$5 bn of net new money is testament to the OCBC's continued efforts in expanding its scale in the business. The previous target of 500 BOS RMs by the end of 2025 has already been met – but the new hires will require 12-18 months of 'gestation' to get up to speed and produce results. Apart from focusing on expanding scale through its network of RMs, OCBC aims to improve its value proposition to clients on 2 fronts – 1) by focusing on product development, not just to BOS clients but also its premier private client and premier banking customers, and 2) further realizing synergy with Great Eastern and the latter's portfolio.
7. **M&A – prefer portfolios over entities** – Mgmt reiterated its preference to acquire portfolios over entities as they carry far less integration risks. Other factors to consider include – 1) avoiding duplication of branch / customer network, 2) country of acquisition target, and 3) local currency funding situation (if there is excess funding in that local currency, then it makes sense to buy a local portfolio).
8. **Indonesia – key market for long term** – While there may be short-term challenges, Indonesia remains a key market for OCBC – the bank believes in the long-term prospects of the country's attractive demographic.



Price objective basis & risk

Oversea-Chinese Banking Corp (OVCHF)

Our PO of S\$19.00 is derived using a Gordon growth model, which assumes a sustainable ROE of 12.8%, cost of equity of 9.6%, and a long-term growth rate of 2.0%. This implies a warranted PBV of 1.4x.

Downside risks: protracted global economic slowdown, a significant deterioration in the asset quality environment, and volatility of its insurance and trading income. Upside risks are better than expected macro recovery, and higher leverage from more active capital management.

Analyst Certification

I, Anand Swaminathan, hereby certify that the views expressed in this research report accurately reflect my personal views about the subject securities and issuers. I also certify that no part of my compensation was, is, or will be, directly or indirectly, related to the specific recommendations or view expressed in this research report.

South Asia Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
BUY				
	Aditya Birla Capital	XADIF	ABCAP IN	Anuj Singla
	AU Small Finance Bank	XAIIF	AUBANK IN	Anand Swaminathan
	Bajaj Finance	XECVF	BAF IN	Anuj Singla
	Bandhan Bank	XBNDF	BANDHAN IN	Anand Swaminathan
	Bank Mandiri	PPERF	BMRI JJ	Anand Swaminathan
	Bank Negara Indonesia	PBNNF	BBNI JJ	Anand Swaminathan
	Bank of Baroda	XZYRF	BOB IN	Anand Swaminathan
	Bank of India	XDIIF	BOI IN	Anand Swaminathan
	Bank of the Philippine Islands	BPHLF	BPI PM	Julian Roxas
	Bank Rakyat Indonesia	BKRKF	BBRI JJ	Anand Swaminathan
	BDO Unibank	BDOUF	BDO PM	Julian Roxas
	Canara Bank	CNRKF	CBK IN	Anand Swaminathan
	CIMB Group	CIMDF	CIMB MK	Anand Swaminathan
	DBS Group	DBSDF	DBS SP	Anand Swaminathan
	DBS Group	DBSDY	DBSDY US	Anand Swaminathan
	HDFC Bank	HDFBF	HDFCB IN	Anand Swaminathan
	HDFC Bank	HDB	HDB US	Anand Swaminathan
	HDFC Life	XETUF	HDFCLIFE IN	Anuj Singla
	ICICI Bank	XLORF	ICICIB IN	Anand Swaminathan
	ICICI Bank	IBN	IBN US	Anand Swaminathan
	ICICI Pru Life	XIIF	IPRU IN	Anuj Singla
	IDFC First Bank	XQUFF	IDFCFB IN	Anand Swaminathan
	Life Insurance Corporation of India	XVRYF	LICI IN	Anuj Singla
	Manappuram Finance	XMGPF	MGFL IN	Anuj Singla
	Metrobank	MTPOF	MBT PM	Julian Roxas
	Muthoot Finance	XMFLF	MUTH IN	Anuj Singla
	Oversea-Chinese Banking Corp	OVCHF	OCBC SP	Anand Swaminathan
	Public Bank	PBLOF	PBK MK	Anand Swaminathan
	RBL Bank	XKITF	RBK IN	Anand Swaminathan
	SBI Life	XETAF	SBILIFE IN	Anuj Singla
	Security Bank	SYBJF	SECB PM	Julian Roxas
	Shriram Finance	SHTFF	SHFL IN	Anuj Singla
	Star Health Insurance	XRUF	STARHEAL IN	Anuj Singla
	Union Bank Of India	UBOIF	UNBK IN	Anand Swaminathan
	United Overseas Bank	UOVEF	UOB SP	Anand Swaminathan
	United Overseas Bank	UOVEY	UOVEY US	Anand Swaminathan
NEUTRAL				
	Aditya Birla Sun Life AMC	XBSF	ABSLAMC IN	Anuj Singla
	Axis Bank	XLIRF	AXSB IN	Anand Swaminathan
	Bajaj Housing Finance	XBACF	BAJAJHFL IN	Anuj Singla

South Asia Financials Coverage Cluster

Investment rating	Company	BofA Ticker	Bloomberg symbol	Analyst
	Bank Central Asia	PBCRF	BBCA IJ	Anand Swaminathan
	Federal Bank	XMTRF	FB IN	Anand Swaminathan
	HDFC Asset Management Company Limited	XJARF	HDFCAMC IN	Anuj Singla
	JMT Network Services	XQXRF	JMT TB	Narumon Ekasamut
	Kotak Mahindra Bank	XWIUF	KMB IN	Anand Swaminathan
	LIC Housing Finance	XLIIF	LICHF IN	Anuj Singla
	Mahindra Finance	XGDAF	MMFS IN	Anuj Singla
	State Bank of India	XDWRF	SBIN IN	Anand Swaminathan
	Union Bank of the Philippines	UBOPF	UBP PM	Julian Roxas
UNDERPERFORM				
	Indusind Bank	IDUBF	IIB IN	Anand Swaminathan
	Maybank	MLYNF	MAY MK	Anand Swaminathan
	Punjab National Bank	XQGRF	PNB IN	Anand Swaminathan
	SBI Cards	XLJGF	SBICARD IN	Anuj Singla
	Singapore Exchange	SPXCF	SGX SP	Anand Swaminathan
	UTI Asset Management Company	XUTTF	UTIAM IN	Anuj Singla

iQmethodSM Measures Definitions

Business Performance

Return On Capital Employed

Return On Equity

Operating Margin

Earnings Growth

Free Cash Flow

Numerator

NOPAT = (EBIT + Interest Income) × (1 – Tax Rate) + Goodwill Amortization

Net Income

Operating Profit

Expected 5 Year CAGR From Latest Actual

Cash Flow From Operations – Total Capex

Denominator

Total Assets – Current Liabilities + ST Debt + Accumulated Goodwill

Amortization

Shareholders' Equity

Sales

N/A

N/A

Quality of Earnings

Cash Realization Ratio

Asset Replacement Ratio

Tax Rate

Net Debt-To-Equity Ratio

Interest Cover

Numerator

Cash Flow From Operations

Capex

Tax Charge

Net Debt = Total Debt – Cash & Equivalents

EBIT

Denominator

Net Income

Depreciation

Pre-Tax Income

Total Equity

Interest Expense

Valuation Toolkit

Price / Earnings Ratio

Price / Book Value

Dividend Yield

Free Cash Flow Yield

Enterprise Value / Sales

Numerator

Current Share Price

Current Share Price

Annualised Declared Cash Dividend

Cash Flow From Operations – Total Capex

EV = Current Share Price × Current Shares + Minority Equity + Net Debt +

Other LT Liabilities

Enterprise Value

Denominator

Diluted Earnings Per Share (Basis As Specified)

Shareholders' Equity / Current Basic Shares

Current Share Price

Market Cap = Current Share Price × Current Basic Shares

Sales

EV / EBITDA

Basic EBIT + Depreciation + Amortization

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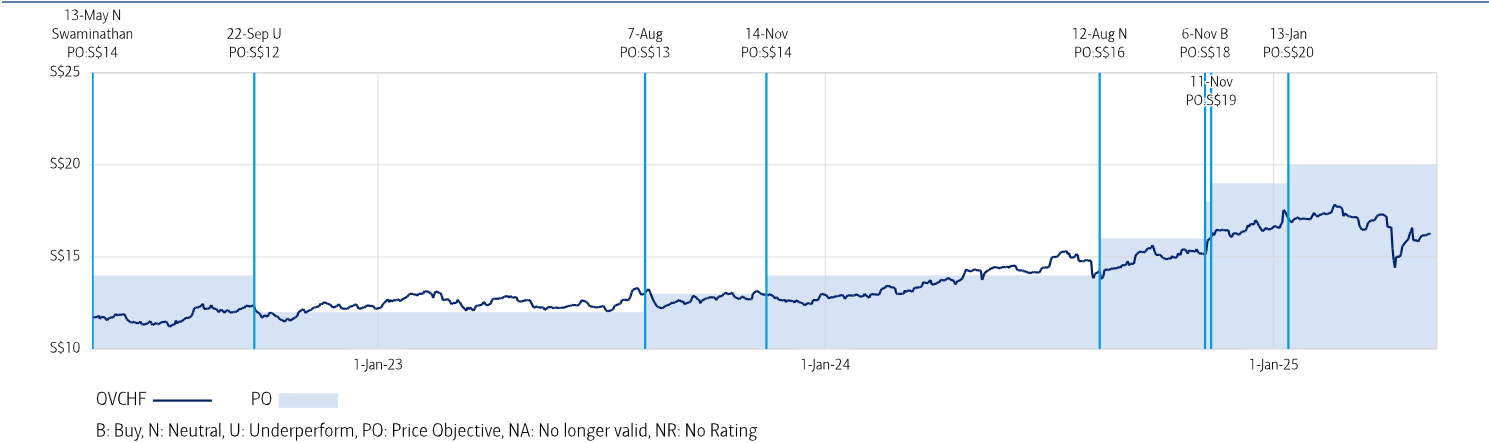
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Disclosures

Important Disclosures

OCBC (OVCHF) Price Chart



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Equity Investment Rating Distribution: Banks Group (as of 31 Mar 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	113	54.85%	Buy	96	84.96%
Hold	45	21.84%	Hold	34	75.56%
Sell	48	23.30%	Sell	38	79.17%

Equity Investment Rating Distribution: Global Group (as of 31 Mar 2025)

Coverage Universe	Count	Percent	Inv. Banking Relationships ^{R1}	Count	Percent
Buy	1867	54.40%	Buy	1108	59.35%
Hold	774	22.55%	Hold	466	60.21%
Sell	791	23.05%	Sell	368	46.52%

^{R1} Issuers that were investment banking clients of BofA Securities or one of its affiliates within the past 12 months. For purposes of this Investment Rating Distribution, the coverage universe includes only stocks. A stock rated Neutral is included as a Hold, and a stock rated Underperform is included as a Sell.

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Investment rating	Total return expectation (within 12-month period of date of initial rating)	Ratings dispersion guidelines for coverage cluster ^{R2}
Buy	≥ 10%	≤ 70%
Neutral	≥ 0%	≤ 30%
Underperform	N/A	≥ 20%

^{R2} Ratings dispersions may vary from time to time where BofA Global Research believes it better reflects the investment prospects of stocks in a Coverage Cluster.

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